

26STCV01277 26STCV01277

County: los-angeles

Division: Civil Law and Motion

Department: 11

Hearing date: 2026-09-22

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Case Number: 26STCV01277 Hearing Date: September 22, 2026 Dept: 11

Rodriguez (26STCV01277)

Tentative

Ruling Re: Motion to Compel Arbitration

Date: 9/22/26

Time: 11:00 am

Moving Party: Alpha

Structural, Inc. ("Defendant")

Opposing Party: Rodolfo

Rodriguez ("Plaintiff")

Department: 11

Judge: Bruce G.

Iwasaki

TENTATIVE RULING

Defendants' motion to compel arbitration is granted.

The case shall be stayed until the arbitration is finished.

BACKGROUND

Plaintiff used to work for Defendant. He alleges that Defendant subjected him and other current and former non-exempt employees to numerous wage-and-hour violations.

Here, Defendant moves to compel Plaintiff's individual claims to arbitration.

DEFENDANT'S EVIDENTIARY OBJECTIONS

Objections 2, 3, and 8 are sustained. Objections 1, 4, 5, 6, and 7 are overruled.

DISCUSSION

It is undisputed that an agreement to arbitrate exists and that the Federal Arbitration Act ("FAA") applies.

Nevertheless, Plaintiff contends the motion to compel should be denied because the delegation clause and the arbitration agreement are unconscionable.

Plaintiff also cites Civil Code section 1642, arguing that the arbitration agreement, the confidentiality agreement, and the employment agreement should be treated as one contract.

Delegation Clause

The delegation clause states:

The Arbitrator shall have exclusive authority to resolve any dispute relating to the interpretation, applicability, enforceability, or formation of this Agreement, including but not limited to any claim that all or any part of this Agreement is void or voidable. The Arbitrator also shall have the authority to hear and rule on pre-hearing disputes, as well as motions to dismiss and/or motions for summary judgment by any Party. The Arbitrator further shall have the authority to award any form of remedy or damages

available in a court. The Arbitrator shall have no authority to hear or decide any matter that was not processed in accordance with this Agreement.

(Duenas Decl., Ex. A, § 9.a.)

Defendant claims

the delegation clause requires the arbitrator to decide gateway questions, primarily, arbitrability and unconscionability. (See Motion to Compel, p. 10.)

Plaintiff insists that the delegation clause is unconscionable. (See Opposition, pp. 11-12.) Defendant argues that the delegation clause is clear and unmistakable, and not unconscionable. (Reply at pp. 5-7.)

The Court will analyze Plaintiffs' argument first. (See *Malone v. Superior Court* (2014) 226 Cal.App.4th 1551, 1560 [instructing that, "if the party is making a specific challenge to the delegation clause, the court must determine whether the delegation clause itself may be enforced (and can only delegate the general issue of enforceability to the arbitrator if it first determines the delegation clause is enforceable)"].)

Unconscionability

is a contract defense that can be utilized to "invalidate [an] arbitration agreement[.]" (*Torrecillas v. Fitness International, LLC* (2020) 52 Cal.App.5th 485, 492.) Courts apply state law to test whether the agreement is unconscionable. (See, e.g., *Lagatree v. Luce, Forward, Hamilton & Scripps* (1999) 74 Cal.App.4th 1105, 1119.)

"[U]nconscionability

has both a procedural and a substantive element, the former focusing on oppression or surprise due to unequal bargaining power, the latter on overly harsh or one-sided results." (*Armendariz v. Foundation Health Psychcare Services, Inc.* (2000)

24 Cal.4th 83, 114, internal quotation marks omitted.) "The prevailing view is that [procedural and substantive unconscionability] must both be present in order for a court to exercise its discretion to refuse to enforce a contract or clause under the doctrine of unconscionability." (*Ibid.*) "But they need not be present in the same degree." (*Ibid.*) "Essentially a sliding scale is invoked which

disregards the regularity of the procedural process of the contract formation, that creates the terms, in proportion to the greater harshness or unreasonableness of the substantive terms themselves.” (Ibid.) “In other words, the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa.” (Ibid.)

The burden belongs
to “[t]he party resisting arbitration[.]”
(Malone, *supra*, 226 Cal.App.4th at 1561.)

Procedural
element: Plaintiff asserts that he “was not given a meaningful opportunity to review . . . the delegation clause.”
(Opposition, p. 6.) He further
states that he felt pressure to sign, that he did not get a chance to read the onboarding documents or to “consult with any outside sources[.]” and that the delegation clause is hidden in the ninth paragraph of the arbitration agreement. (Ibid.)

The Court
disagrees. First, failure to read and understand is not
a defense. (See Knight, et
al., Cal. Practice Guide: Alternative Dispute Resolution (The Rutter Group
2026) ¶ 5:90.) Second, the plain
language of the arbitration agreement undercuts Plaintiff’s position:

12. Employee’s Consent to Agreement. Employee acknowledges and agrees that Employee enters into this Agreement freely and voluntarily, although understanding it is a condition of employment or continued employment. Employee further acknowledges that Employee has had the opportunity to consult with an attorney or other advisor before signing this Agreement.

* * *

Each of Employer and Employee acknowledges
the following:

- Such Party has carefully read this Agreement which consists of five (5) pages including this acknowledgment and

sixteen (16) numbered paragraphs;

- That all understandings between Employer and Employee relating to the subject matter of arbitration are contained in this Agreement;
- That such Party's signature on this Agreement means that such Party is giving up such Party's rights to a jury trial and to a trial in a court of law for any Claim covered by this Agreement;
- That such Party's signature on this Agreement means that such Party is giving up such Party's rights to pursue collective or class procedures in the arbitration process as well as in court; and
- Such Party has entered into this Agreement voluntarily and not in reliance on any promises or representations other than those contained in this Agreement.

Each of Employer and Employee further acknowledges that such Party has had an opportunity to discuss this Agreement with attorneys of such Party's choice prior to signing it and that such Party has used that opportunity to the extent such Party wishes to do so.

(Duenas Decl., Ex. A, § 12 and p. 5, underlining and bolding in original.) Third, there is no statement under penalty of perjury stating that Plaintiff actually requested extra time to read the onboarding documents or assistance from an attorney or other consultant to explain the meaning of the arbitration terms, including the delegation clause, or that Defendant denied such requests, assuming they were made. Fourth, the delegation clause is conspicuous. It appears in its own paragraph under the underlined heading "Authority of Arbitrator" and is written in standard font size. (See id. at Ex. A, § 9.a.) Given these factors, the level of procedural unconscionability is low.

Substantive element: Plaintiff claims

(1) "[t]he delegation clause delegates the issue of formation . . . to the arbitrator" and (2) the arbitration agreement is one-sided in that in that it

obliges him to arbitrate against third-party entities that do not similarly agree to arbitrate in return. (Opposition, pp. 7-8.)

Point (1) is moot. While it is true that “parties cannot delegate issues of formation to the arbitrator” (Ahlstrom v. DHI Mortgage Company, Ltd., L.P. (9th Cir. 2021) 21 F.4th 631, 635), Plaintiff does not contest formation. As noted above, the existence of an agreement to arbitrate is undisputed.[1]

Point (2) fails. The argument attacks the arbitration agreement, not the delegation clause, and, regardless, it is based on distinguishable law. Plaintiff cites Cook v. USC (2024) 102 Cal.App.5th 312. The overarching problem with the Cook agreement was the unlimited scope. (See Cook, supra, 102 Cal.App.5th at 321-325.) It covered “all claims, whether or not arising out of Employee’s University employment[.]” (Ibid.) Nothing was excluded. (See id. at 317, 322-324.) By contrast, Plaintiff concedes that Defendant’s agreement covers “claims claims and controversies arising out of or relating to Employee’s employment relationship with Employer (or the termination of that employment relationship)[.]” (Opposition, p. 7; see also Duenas Decl., Ex. A, § 1 [defining Defendant as “Employer” and Plaintiff as “Employee”]; id. at Ex. A, § 7 [calling for application of the JAMS Employment Arbitration Rules and Mediation Procedures].) This difference makes Cook distinguishable.[2]

Consequently, like the level of procedural unconscionability, the level of substantive unconscionability is low.

Which brings the Court to Defendant’s argument. Under the FAA, “[u]nless the parties clearly and unmistakably provide otherwise,” arbitrability and unconscionability of the arbitration agreement “to be determined by the court.” (Ajamian v. CantorCO2e, L.P. (2012) 203 Cal.App.4th 771, 781.) To prove the exception, “it must be shown by ‘clear and unmistakable’ evidence that the parties intended to delegate the issue to the arbitrator.” (Ibid.) “The ‘clear and unmistakable’ test reflects a ‘heightened standard’ of proof.” (Id. at 782.) “That is because the question of who would decide the unconscionability of an arbitration provision is not one that the parties would likely focus upon in contracting, and the default

expectancy is that the court would decide the matter.” (Ibid. [remarking that “a contract’s silence or ambiguity about the arbitrator’s power . . . cannot satisfy the clear and unmistakable evidence standard”].)

However, in *Dream*

Theater, Inc. v. Dream Theater (2004) 124 Cal.App.4th 547 (“*Dream Theater*”), the Second District Court of Appeal held that parties “state a clear and unmistakable agreement that the arbitrator will decide whether the dispute is subject to arbitration when they incorporate into their agreement the [American Arbitration Association (‘AAA’)] Commercial Arbitration Rules which specify the arbitrator will decide arbitrability, and nothing in the parties’ agreement excludes from the jurisdiction of the arbitrator the decision whether the dispute must be submitted to arbitration.” (*Dream Theater*, supra, 124 Cal.App.4th at 549; see also id. at 556 [“It is difficult to imagine how parties could state any more comprehensively than they did in the Contract the intent to avoid litigation at every step of the dispute resolution process. The Contract provides that if a contested claim is not settled within the contractual deadline, then it must be submitted to binding arbitration in accordance with the AAA Commercial Arbitration Rules. These rules specify that the arbitrator will decide disputes over the scope of the arbitration agreement. We conclude that the parties’ agreement to arbitrate according to this rule is clear and unmistakable evidence of the intent that the arbitrator will decide whether a Contested Claim is arbitrable.”]; *Oracle America, Inc. v. Myriad Group A.G.* (9th Cir. 2013) 724 F.3d 1069, 1074 [recognizing that “[v]irtually every circuit to have considered the issue has determined that incorporation of the” AAA “arbitration rules constitutes clear and unmistakable evidence that the parties agreed to arbitrate arbitrability”]; *Knight*, supra, at ¶ 5:214.4 [citing cases].)[3]

The Ninth

Circuit reached the same conclusion vis-à-vis incorporating JAMS rules. (See *Patrick v. Running Warehouse, LLC* (9th Cir. 2024) 93 F.4th 468, 480-481.)

Based on

these authorities, delegation is warranted.

Defendant’s arbitration agreement incorporates the JAMS rules (see *Duenas Decl., Ex. A*, §§ 7, 8, 9.b-c), meaning the arbitrator must decide all arbitrability, unconscionability, and enforceability challenges to the overall agreement.

The motion
to compel is granted for this purpose.

Arbitration Agreement and Civil Code
Section 1642

The Court declines to reach
Plaintiff's arguments concerning the unconscionability of the arbitration
agreement and whether Civil Code section 1642 applies.

Stay

Defendant's
request to stay the case pending completion of the arbitration is granted.

The representative PAGA claims are
stayed. The class claims are stricken.
When the FAA applies a class waiver as appears in the agreement here is
enforceable.

The Court will set the date for a
post-arbitration status conference at the hearing.

[1] If it were necessary, the Court would
sever the word "formation" from the delegation clause. That would suffice to fix the problem. (See *Mendoza v. Trans Valley Transport* (2022)
75 Cal.App.5th 748, 776 ["[W]e conclude that although the delegation
clause provides that the arbitrator 'shall have exclusive authority to resolve
any dispute relating to . . . formation of the arbitration policy,' as a
matter of law, the question whether the parties entered into an agreement to
arbitrate anything at all is for a court to decide."], emphasis in original.)

[2] Newer case law teaches that Cook
should be confined to the unique context that appeared there. (See, e.g., *Ayala-Ventura v. Superior Court* (2026) 119 Cal.App.5th 241, 255-258.)

[3] The United States Supreme Court
abrogated one of the legal principles applied in *Dream Theater*. The Second District held that a court hearing
a delegation dispute "must find both that [the] parties' intent was 'clear and
unmistakable' and [] that [the] claim of arbitrability is not 'wholly

groundless[.]” (Knight, *supra*,
at ¶ 5:214.4.) The High Court determined
that, “[f]or cases decided under the FAA, a court is required by a valid
delegation clause to refer disputes about arbitrability to an arbitrator; it
has no power to decide such issues even if it believes that the motion for
arbitration is ‘wholly groundless.’” (Ibid.
[quoting *Henry Schein, Inc. v. Archer & White Sales, Inc.* (2019) 586
U.S. 63, 65.]) Still, the main thrust of *Dream*
Theater – intent to delegate is clear and unmistakable when the agreement
incorporates the AAA rules – remains in place.